The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

Donald Trump said **Japan** would invest $36bn in **America** in the first phase of the countries' "massive trade deal", which was agreed last year. The money will go to three energy and manufacturing projects, including a natural-gas plant in Ohio. Japan has pledged to invest $550bn in America in exchange for the Trump administration limiting tariffs on Japanese exports to 15%.

Nvidia, a chipmaker, said it had signed a "multi-year" deal with **Meta** to supply the tech giant with millions of chips for AI-related projects. The firms did not disclose the value of the agreement, but it is expected to be worth billions of dollars. Meta plans to spend $135bn on AI this year.

Sara Duterte, the vice-president of **the Philippines**, announced that she would run for president in 2028. Ms Duterte is embroiled in a bitter spat with Ferdinand Marcos junior, the current president whom she once supported. Their relationship collapsed after officials launched a corruption inquiry into Ms Duterte in 2024, which resulted in her impeachment. Last year the Supreme Court overturned that decision on procedural grounds.

Britain's annual **inflation** rate fell to 3% in January, down from 3.4% in December and the lowest in nearly a year. The drop was

driven by a decrease in fuel prices. The new data increases the chance that the Bank of England will cut interest rates when it meets next month.

Warner Bros Discovery, a movie-making giant, is restarting talks with **Paramount** about a potential deal. In December **Netflix** announced it would pay $83bn for Warner's streaming and studio services; Paramount then offered $108bn for the whole company, but its bid was rejected. Paramount has appealed to shareholders directly and reportedly increased its offer, though it has not made the figure public.

Peru's Congress removed **José Jerí**, who served just four months as interim president, for failing to disclose meetings with a Chinese businessman. The South American country has had eight presidents in ten years. Mr Jerí, a former lawmaker, had himself replaced an impeached president. Congress will choose his successor on Wednesday. Peru's next general election is due in April.

America said it had carried out two strikes on alleged **drug-trafficking boats** in the eastern Pacific, and a third in the Caribbean, killing 11 people. At least 144 people have been killed since September, when the Trump administration began targeting vessels carrying suspected "narco-terrorists" as part of its war on drugs. The White House has defended the attacks, which some claim violate international law.

Figure of the day: 5.6trn roubles ($73bn), Russia's budget deficit in 2025, the largest since the pandemic. Read the full story.

Photograph: Getty Images

France’s economy resists, just

On Wednesday Insee, France’s official statistics agency, revealed that in January the annual inflation rate fell to just 0.3%, a five-year low. France’s economic growth remains weaker than the euro-zone average: its GDP is expected to expand by 1% in 2026, compared with 1.2% for the zone as a whole. But this is the same rate as in Germany, its biggest trading partner. It is also better than many analysts had expected given the political deadlock that created so much uncertainty in France last year.

Aeronautical and defence exports are bolstering growth. Dassault, a manufacturer of fighter jets, is hoping to finalise a mega deal with India for 114 new aircraft. But the poor state of France’s public finances, and the government’s decision to extend a super tax on businesses for another year, will continue to weigh on the economy. With the next presidential election in 2027, much political uncertainty remains.

Photograph: Reuters

Denmark’s king heads to the Arctic

King Frederik X of Denmark begins a three-day visit to Greenland on Wednesday. Donald Trump’s insistence that America should control the self-governing island, which is part of the kingdom of Denmark, has shaken the transatlantic alliance. Last month America’s president abandoned his threat of tariffs and ruled out using force. But on February 14th Mette Frederiksen, Denmark’s prime minister, warned that his demands remain “exactly the same”.

King Frederik hopes his trip will lift Greenlanders’ “morale”. Despite the island’s strong independence movement, the king is popular there. In 2000 he joined an expedition across Greenland with the Sirius Dog Sled Patrol, a Danish military unit. Two of his children have Greenlandic middle names. A deal is reportedly in the works to give America’s armed forces greater access to Greenland, though Denmark and Greenland insist that their “territorial integrity” is a “red line”. For Danes and Greenlanders, the king’s visit will underscore that the island’s future is not America’s to decide.

Photograph: Getty Images

Takaichi Sanae becomes Japan’s prime minister, again

On Wednesday Takaichi Sanae was sworn in for the second time in six months. She has held the post since October 2025, after her predecessor resigned. Now, though, she has a proper public mandate—having won a snap election on February 8th by a landslide. Ms Takaichi faces the daunting task of passing the budget for the next fiscal year, which begins in April. That deadline is tight, particularly given the amount of time lost to campaigning in recent months.

Elsewhere, though, her position is strong. Ms Takaichi called the election because she wanted the ability to pursue “bold policies” that might otherwise have met with too much resistance. She has it: the ruling Liberal Democratic Party now holds a two-thirds supermajority in the lower house, enough to overrule the upper chamber. Ms Takaichi wants to strengthen Japan’s armed forces, which will include creating a foreign intelligence agency and an anti-espionage law. Such proposals would normally be strongly opposed in pacifist Japan.

Photograph: Getty Images

Britain’s largest defence firm is flying high

BAE Systems reports its full-year results on Wednesday. Its shares rose on Monday after Britain’s prime minister, Sir Keir Starmer, said that the country needed to ramp up its military spending.

BAE, which makes around a quarter of its total sales in Britain, would benefit from any boost to the defence budget. It is already in a strong position: it entered 2025 with £78bn in back orders, a company record, and booked an additional £27.2bn in orders by October. BAE is also a key supplier for a submarine deal between America, Australia and Britain, and is collaborating with Italy’s Leonardo and Japan’s Mitsubishi to build the next generation of fighter jets. But Brexit has given BAE less access to Europe’s defence market, which is currently booming. European countries have massively increased their military spending in recent months, in large part because of a desire to be less reliant on American arms.

Photograph: Getty Images

Bernie battles California's billionaires

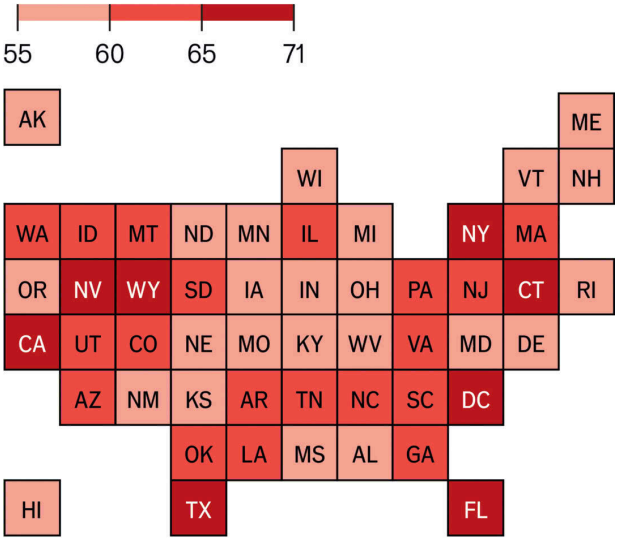
"Billionaire" is a dirty word at Bernie Sanders' rallies. During one in Los Angeles on Wednesday the 84-year-old senator for Vermont will use the term to rouse support for a 5% wealth tax on Californians whose net worth is over $1.1bn. That would prop up the state's struggling health-care system, argues the SEIU, a trade union sponsoring the proposal. It will need to secure nearly 900,000 signatures before June 24th to get on California's November ballot.

Democrats have embraced the issue of "affordability" ahead of the midterm elections. But they disagree over how to actually help Americans. Mr Sanders—an independent who caucuses with Democrats—argues that America is ravaged by wealth inequality and run by oligarchs. Moderates worry that wealth taxes in blue cities and states will drive the rich to Republican states, raising little extra money. For better or worse, California may be the testing ground.

Haves and have-lots

Income inequality*, Gini coefficient, 2022

100=maximum inequality



*Before taxes and transfers

Source: US state-level income inequality, M. Frank, August 2025

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: Which famous drummer was one of the founder members of the rock group Cream?

Tuesday: Grey, blood and basset are words that precede the name of what type of dog?

A person needs a little madness, or else they never dare cut the rope and be free.

Nikos Kazantzakis